

1. **U.S. government bonds.** These are bonds that are sold by the government to help pay down the national debt and for other federal government projects, like infrastructure, and so on. Bonds issued by the federal government are exempt from state and local income taxes and are further broken into two types:

- **Treasury bonds and Treasury notes.** Treasury bonds pay interest every 6 months and have 30-year maturities while Treasury notes pay interest every 6 months but have maturity dates of 2 to 10 years.

- **U.S. savings bonds.** While U.S. savings bonds don't make regular interest payments, they can be purchased at less than their face value. The advantage to this is that you can get the full face value when you cash them in at their maturity date. So, for example, you can buy a U.S. savings bond for \$50 that has a face value of \$100. There are also different types of savings bonds: **Series EE bonds**, which offer tax breaks when used for higher education, and **Series I bonds**, which provide protection against inflation by increasing the interest rate as inflation rises.

2. **Municipal bonds.** These are bonds used to fund state and local government projects like building schools, hospitals, and roads in cities. They are typically exempt from federal and state income taxes.

3. **Corporate bonds.** These are bonds issued by companies. They typically pay higher interest rates than government bonds, but they're also higher-risk, because if the company goes out of business, it may not be able to pay the interest or face value on the bond. Corporate bonds are also subject to federal and state income taxes.

Speaking of a bond's risk assessment, as defined by The Motley Fool,^{[2](#)}

A bond rating is a rating that independent agencies issue to measure the credit quality of a particular bond. The bond rating measures the financial strength of the company issuing the bond, and its ability to make interest payments and repay the principal of the bond, when due.

Here is a bond rating chart based on ratings from two major financial authorities in assessing bond risk (Moody's and Standard & Poor's):